

Liquid Insight

Fiscal dominance = fiat competition

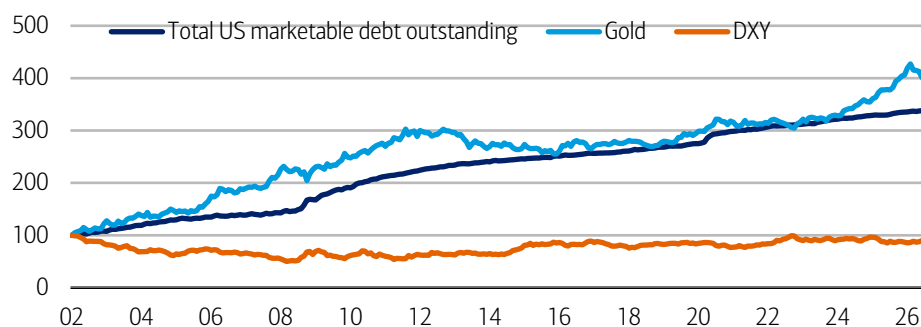
Key takeaways

- Fiscal dominance is not a uniquely US story. While the pressure on Warsh to close the credibility gap at JH is high....
- ... the calendar in France, Japan and the UK suggest trading debasement as a uniquely USD story is fraught.
- We recommend selectively selling USD: buy high beta FX (NZD), EM gold proxies (PEN) and EM FX carry (BRL).

By Oliver Levingston, Raghav Adlakha and Mark Cabana

Exhibit 1: DXY has not tracked gold and US marketable debt higher this century

DXY, US total marketable debt outstanding and gold indexed to Jan 2000*



Source: BofA Global Research, Bloomberg *monthly time series

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Fiscal dominance, not dollar debasement

Gold and sovereign bond markets are increasingly pricing a shift towards fiscal dominance but we remain selectively bearish USD given the prevalence of fiscal risks outside the US. To be sure, the UST's decision to "at least" double the maximum size of long-end buybacks has raised sufficient downside risks that we recommended adding USD shorts last week. The initial market response to buybacks was consistent with debasement risk: gold and CHF were the best performers, USD option skew premium rose across currencies, while US equities weakened despite lower 10y. The pressure on Kevin Warsh to close the credibility gap at Jackson Hole raises near-term risks for USD. Our commodity strategists see a dovish tilt as bullish gold (see [Global Metals Weekly](#)).

Yet while the distribution of risks has shifted sufficiently for us to buy high-beta NZD/USD, uncertainty is high and we highlight near-term risks in Japan (budget process running through Nov/ Dec), France (potential credit downgrade in Oct) and UK (autumn budget due Oct) that could keep DXY supported even if the global debasement trade (short 30y, long gold) continues to perform. **Bottom line:** we remain long NZD/USD and short USD/PEN (gold proxy) with upside for EM FX carry (BRL). Details below.

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Rates and Currencies Research
Global

Oliver Levingston

FX and Rates Strategist
Merrill Lynch (Hong Kong)
+852 3508 4631
oliver.levingston@bofa.com

Raghav Adlakha

EM Quant/Sovereign Strategist
MLI (UK)
+44 20 7995 9019
raghav.adlakha@bofa.com

Mark Cabana, CFA

Rates Strategist
BofAS
+1 646 743 7013
mark.cabana@bofa.com

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G3 FX: Safety in numbers

Markets are increasingly pricing a world of persistent fiscal pressures and elevated sovereign term premia, but not necessarily unique US fiscal challenges. Gold and global long-dated sovereign yields are near the top of 10-year ranges (Exhibit 3). While major markets may be taking their signal from US bonds, credibility gaps in Europe are exacerbating these moves. For example, France's bond market has shown a higher sensitivity to US term premia than German Bunds in the long end during the sell-off over the past few months (see [Liquid Insight 26 August 2026](#)).

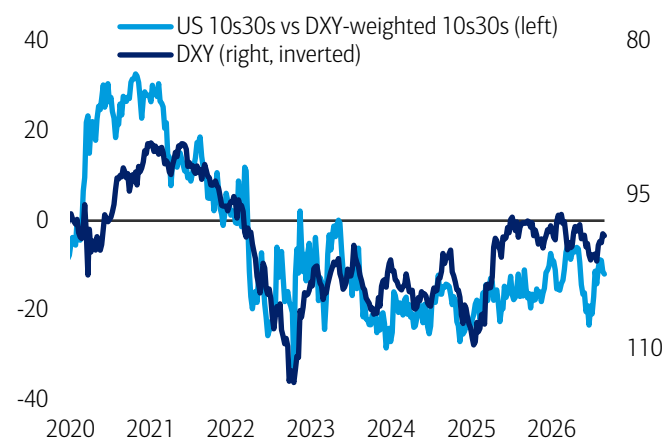
Trip hazards in the Fall

Near-term risks in Japan (a budget process running through Nov/ Dec), France (difficulty finalising a 2027 budget, a potential credit downgrade in Oct and elections next year) and UK (autumn budget due Oct) could keep DXY supported even if the global debasement trade (short 30y bonds, long gold) continues to perform. DXY has largely tracked 10s30s rate differentials, which steepen as investors demand greater compensation to hold long-dated government debt (Exhibit 2). US 10s30s are slightly flatter than a DXY-weighted basket of global curves and the spread between these two curve measures has remained reasonably stable over the past few years.

Notwithstanding some election risk (election: 7 November), New Zealand's relatively benign fiscal outlook contrasts with the G3 FX. Accommodative financial conditions, especially if the Fed absorbs higher bill issuance, suggest high beta FX is likely to perform vs USD near term. We recommend buying NZD/USD (details below).

Exhibit 2: US 10s30s cross-market spread has tracked sideways

DXY vs US 10s30s spread to DXY-weighted 10s30s (bps)

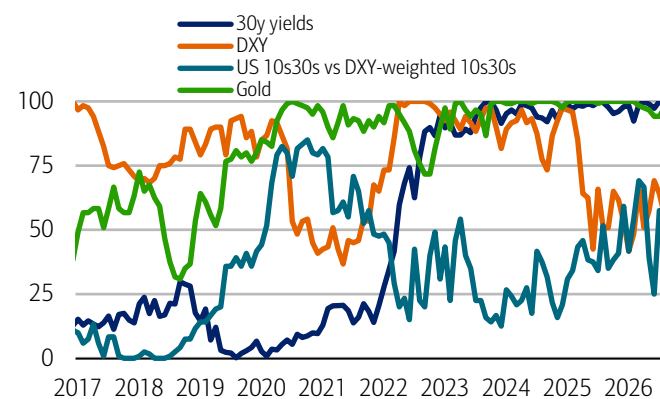


Source: BofA Global Research, Bloomberg

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Exhibit 3: Gold and DM 30y yields pricing credibility gaps ... DXY and 10s30s less so

10y percentile of gold, 30y yields*, DXY and US 10s30s spread vs DXY-weighted 10s30s



Source: BofA Global Research, Bloomberg *30y yields = equal weighted composite of UK, Germany, US and Japan 30y

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Falling fiscal r-stars in US, Japan, UK and France

Below we compare a market's fiscal r-star (the real interest rate required to stabilize debt given prevailing primary deficits and inflation targets) with its monetary r-star (the economy's equilibrium real rate consistent with inflation at target). The gap between the two measures captures how much monetary tightening can be sustained before it begins to conflict with fiscal objectives by raising debt burdens, constraining public spending, or generating inflationary pressures. A narrowing gap signals growing fiscal-monetary tension and is typically associated with higher inflation risks and higher term premia.

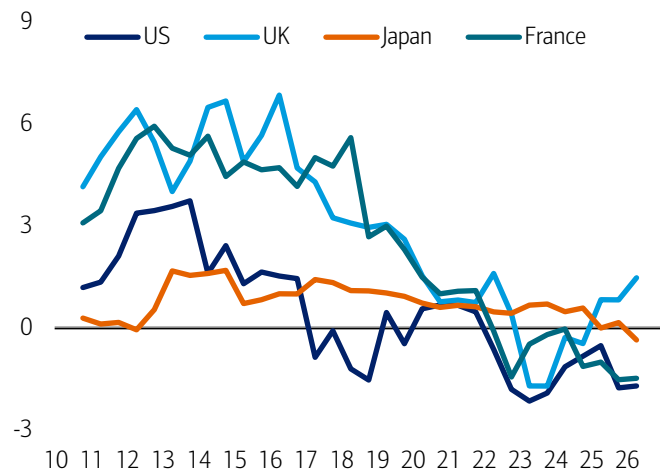
Applying this framework to the US, UK, France and Japan shows a broad and persistent deterioration over the past decade, with the trend accelerating since 2022 (Exhibit 4). The US and France have experienced particularly similar declines, while Japan's fiscal position has weakened to the point where its fiscal r-star now sits below its monetary r-



star. By contrast, the UK remains the only one of these major economies where policymakers still appear able to maintain above-neutral real rates without running up against meaningful fiscal constraints.

Exhibit 4: Among the US, UK, France and Japan, only the BoE can run above-neutral rates without risking either higher debt levels or increased inflation

The gap between the debt-stabilizing real rate (given primary deficit and inflation targets) and the real neutral rate, since 2010

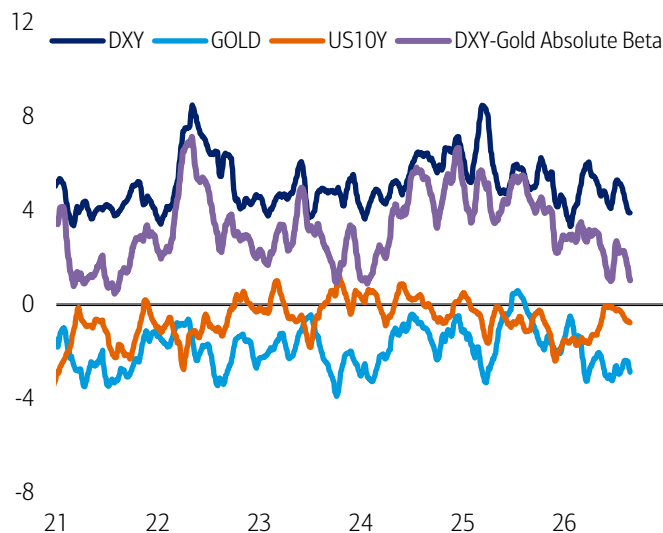


Source: BofA Global Research, Bloomberg

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Exhibit 5: EMFX is increasingly driven by gold more than DXY

EMFX currencies median daily, time-varying beta to global factors since 2021. Positive beta = Higher factor, higher USD/EM



Source: BofA Global Research

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EMFX: more long gold than short DXY

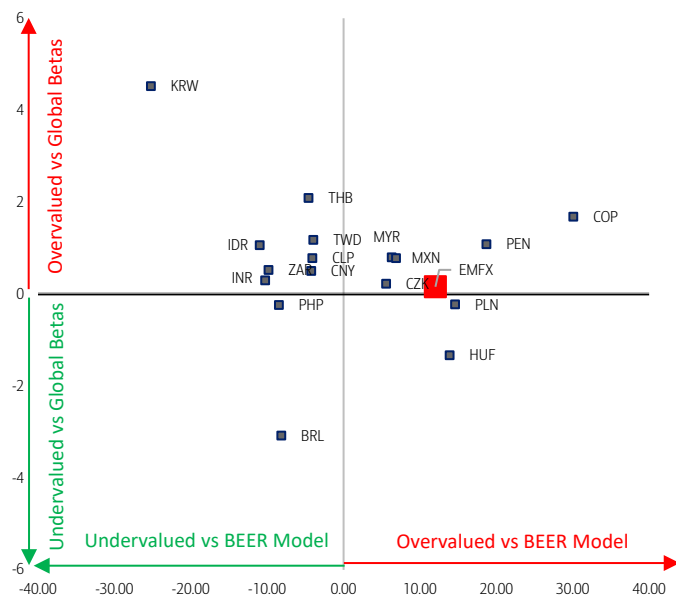
Unlike G10 FX, EMFX is increasingly taking its cues from gold. Our time-varying global betas show the gap between EMFX's median beta to DXY and to gold has narrowed to a five-year low. Gold's influence on EMFX has risen steadily since August 2025, around the time EMFX began exhibiting a more negative beta to Treasury yields, meaning higher Treasury yields have generally coincided with stronger EMFX. Within EMFX, while we see some divergence across fiscal lines, with fiscally challenged EMs (BRL, PLN, HUF, PHP) underperforming their global betas of late (Exhibit 6), broad trends supporting this asset-class are likely to buoy the underperformers as well.

As such, we believe there is value in positive-carry currencies that have lagged the latest rally (e.g. BRL), while currencies like PEN offer amplified betas to gold, given their status as precious metals exporters (Exhibit 7). Currencies that are especially sensitive to European natural gas (like the CEE currencies) are unlikely to see sizeable gains from a gold rally, absent a material decline in TTF prices.

Bottom line: we remain long NZD/USD and short USD/PEN (gold proxy) with upside for EM FX carry (BRL). Details below.

Exhibit 6: Fiscal laggards have underperformed their betas of late

EMFX performance vs globally-implied fair values (Y axis) and EMFX performance vs BEER-model implied fair values (X axis)

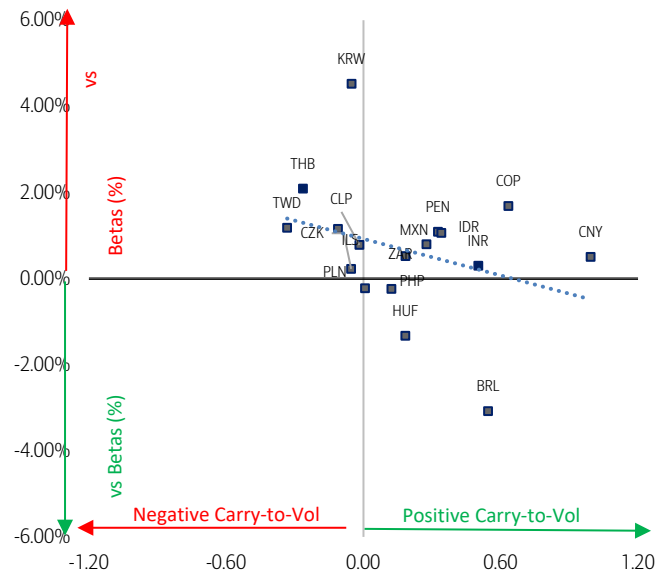


Source: BofA Global Research

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Exhibit 7: EM currencies continue to largely offer positive carry, including recent laggards

EMFX performance vs globally-implied fair values (Y axis) and EMFX carry-to-vol vs USD



Source: BofA Global Research

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Trade recommendations

- Long NZD/USD. Entry: 59.57, target, 0.62, stop 0.58. Risk: dovish RBNZ next week.
- Short USD/PEN. Current: 3.34, Entry: 3.37, Target: 3.20, Stop 3.50. Risk: central bank intervention to cap PEN appreciation, and global risk off.
- Sell EUR/BRL. Current: 6.00, Entry 5.8, target 5.5, Stop: 6.1. Risk: Dovish monetary surprise or fiscal stimulus that worsens the election outlook.



Notable Rates and FX Research

- **Global Macro Year Ahead 2026** – [Attitude determines altitude](#), 23 November 2025
- **Global Rates Year Ahead 2026** – [When carry met rally](#), 25 November 2025
- **G10 FX Year Ahead 2026** – [the \(USD\) long and short of it](#), 25 November 2025
- [2025 reflections](#) **Liquid Cross Border Flows**, 8 December 2025

Rates, FX & EM trades for 2026

For a complete list of our open trade recommendations as well as our trade recommendations closed over the past 12 months, see the reports below:

[Global FX weekly: Volatility eclipse 14 August 2026](#)

[Global Rates Weekly: A break in the heat 14 August 2026](#)

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Research Analysts

US

Ralph Axel
Rates Strategist
BofAS
+1 646 743 7011
ralph.axel@bofa.com

John Shin
FX Strategist
BofAS
+1 646 855 2582
joong.s.shin@bofa.com

Mark Cabana, CFA
Rates Strategist
BofAS
+1 646 743 7013
mark.cabana@bofa.com

Bruno Braizinha, CFA
Rates Strategist
BofAS
+1 646 743 7012
bruno.braizinha@bofa.com

Meghan Swiber, CFA
Rates Strategist
BofAS
+1 646 743 7020
meghan.swiber@bofa.com

Europe

Ralf Preusser, CFA
Rates Strategist
MLI (UK)
+44 20 7995 7331
ralf.preusser@bofa.com

Adarsh Sinha
FX and Rates Strategist
MLI (UK)
+44 20 7995 9745
adarsh.sinha@bofa.com

Ruben Segura-Cayuela
Europe Economist
BofA Europe (Madrid)
+34 91 514 3053
ruben.segura-cayuela@bofa.com

Mark Capleton
Rates Strategist
MLI (UK)
+44 20 7995 6118
mark.capleton@bofa.com

Sphia Salim
Rates Strategist
MLI (UK)
+44 20 7996 2227
sphia.salim@bofa.com

Kamal Sharma
FX Strategist
MLI (UK)
+44 20 7996 4855
ksharma32@bofa.com

Ronald Man
Rates Strategist
MLI (UK)
+44 20 7995 1143
ronald.man@bofa.com

Michalis Rousakis
FX Strategist
MLI (UK)
+44 20 7995 0336
michalis.rousakis@bofa.com

Pac Rim

Oliver Levingston
FX and Rates Strategist
Merrill Lynch (Hong Kong)
+852 3508 4631
oliver.levingston@bofa.com

Shusuke Yamada, CFA
FX/Rates Strategist
BofAS Japan
+81 3 6225 8515
shusuke.yamada@bofa.com

Tomonobu Yamashita
Rates Strategist
BofAS Japan
+81 3 6225 7950
tomonobu.yamashita@bofa.com

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